CIA -1 Commodity and Derivatives Market

Name: Akul Ahuja

[redacted]

L&T Finance, a flagship NBFC subsidiary of the Larsen & Toubro Group, is one of India's leading diversified financial services providers. As of 2025, the company has built a loan book with assets under management (AUM) of over ₹102,000 crore, with 97% of its advances focused on retail segments—rural group loans, farm equipment, housing and property loans, two-wheeler loans, personal finance, SME finance, and newly acquired gold loans. Its strategic pivot under the 'Lakshya 2026' programme emphasizes digital transformation, granular retail growth, and robust risk management. L&T Finance continued to acquire new businesses, such as the gold loan portfolio from Paul Merchants Finance, strengthening its presence in semi-urban and rural lending. The company's financial strength is evident in its return on net worth of 11.8% (FY25), healthy capital structure, AAA ratings from agencies, and the ability to raise funds at competitive rates due to its strong parentage and brand.

What We Did

The analysis presents a simulation of trading L&T Finance futures contracts for October 2025. The approach included:

- **Tracking contract variables**: Initial margin, maintenance margin, and lot size for a single contract.
- **Mark-to-market profit/loss accounting**: Calculating daily and cumulative P&L as the underlying price moved, both for long and short positions.
- **Margin management**: Observing how daily price changes affected required collateral, margin at beginning, and margin in cash.
- **Visualization**: Using tables/graphs to illustrate how trading decisions, contract terms, and market volatility interact to determine trader returns and risk exposure.

Interpretation of Each Graph and Table

Long Position Chart

The long position chart displays a sharp linear climb in profit as the contract's settlement price increases from around ₹258 to ₹272. This direct relationship, shown in the positive slope, means that for every rise in price, the trader's profit grows proportionally. Periodic flat or negative points reflect days of price drops, temporarily reducing cumulative gains. The graph

evidences how futures contracts can create leveraged returns—small price moves generate dramatic changes in P&L due to contract size.[3]

Short Position Chart

The short position graph is a mirror image of the long—profits are highest when prices drop and turn to losses as the settlement price rises. The steep negative slope quantifies how short sellers face quick, amplified losses in a rally, highlighting the importance of maintaining effective margin and risk management throughout the period.

Underlying and Settlement Price Chart

This double-line chart tracks both the underlying asset and the contract's settlement price. The notable volatility and upward trend in mid-October, followed by consolidation, are visible. Days where the lines separate or sharply move indicate increased risk and trading opportunity—traders can capture gains or cushion losses depending on the alignment of their position with the price movement.

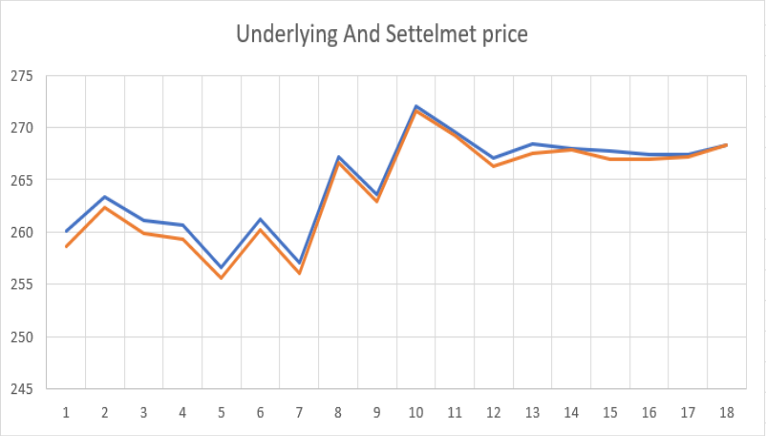
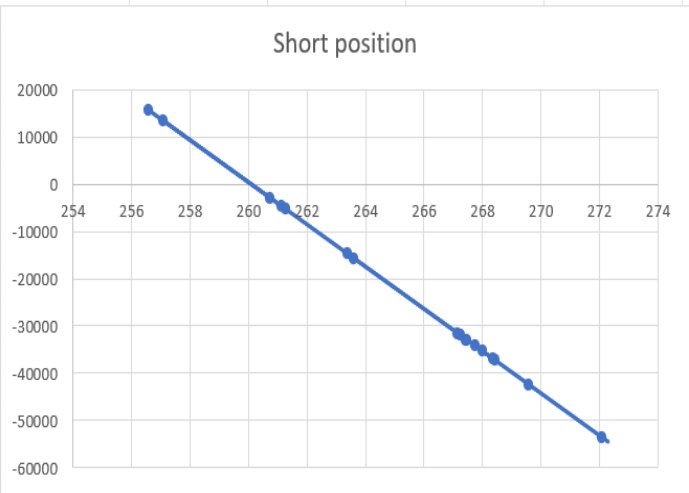
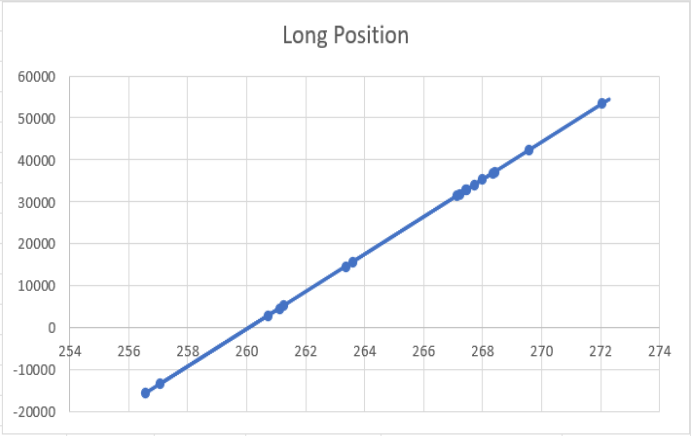
MTM Table With Margin Dynamics

The summary table and data sheet exemplify the full mark-to-market accounting process for both long and short future positions. It reveals the daily calculation of profit/loss, running cumulative totals, and changing margin requirements. For the long position, rising prices build up margin equity; for the short position, falling margin triggers highlight times when additional collateral is needed. The margin at beginning and margin in cash columns demonstrate the critical role of real-time margin monitoring in avoiding forced position closures or margin calls.[

Detailed Trading and Risk Insights

- When the price of L&T Finance rose midway through the month, the long position profited handsomely, peaking near expiry.
- Equally, the short position suffered, demonstrating the inherent zero-sum structure of derivatives.
- The daily MTM approach provided crystal-clear visibility into performance, helping traders and managers adjust exposure, rebalance positions, and ensure sufficient capital.
- Margin calculations throughout the month show the importance of maintaining buffer capital, particularly during periods of sharp price movement.

This holistic approach demonstrates how trading L&T Finance futures contracts would work in practice—including the practical realities of risk, capital management, and profit optimization in a real-world financial environment

					Long Position				Short Position			
Symbo	Date	Expiry	Settle Price	Underlying Value	Daily G/ L	Cumlative G/L	MAB	MIC	Daily G/ L	Cumlative G/L	MAB	MIC
LTF	01-Oct-25	28-Oct-25	260.08	258.58			116047.696				116047.70	
LTF	03-Oct-25	28-Oct-25	263.36	262.33	14635.36	14635.36	130683.056		-14635.36	-14635.36	101412.34	
LTF	06-Oct-25	28-Oct-25	261.11	259.87	-10039.5	4595.86	120643.556		10039.5	-4595.86	111451.84	
LTF	07-Oct-25	28-Oct-25	260.71	259.28	-1784.8	2811.06	118858.756		1784.8	-2811.06	113236.64	
LTF	08-Oct-25	28-Oct-25	256.57	255.55	-18472.68	-15661.62	100386.076		18472.68	15661.62	131709.32	
LTF	09-Oct-25	28-Oct-25	261.25	260.24	20882.16	5220.54	121268.236		-20882.16	-5220.54	110827.16	
LTF	10-Oct-25	28-Oct-25	257.07	256.04	-18651.16	-13430.62	102617.076		18651.16	13430.62	129478.32	
LTF	13-Oct-25	28-Oct-25	267.22	266.58	45289.3	31858.68	147906.376		-45289.3	-31858.68	84189.02	31858.68
LTF	14-Oct-25	28-Oct-25	263.58	262.93	-16241.68	15617	131664.696		16241.68	-15617	132289.38	
LTF	15-Oct-25	28-Oct-25	272.06	271.55	37837.76	53454.76	169502.456		-37837.76	-53454.76	94451.62	
LTF	16-Oct-25	28-Oct-25	269.57	269.19	-11110.38	42344.38	158392.076		11110.38	-42344.38	105562.00	
LTF	17-Oct-25	28-Oct-25	267.12	266.26	-10931.9	31412.48	147460.176		10931.9	-31412.48	116493.90	
LTF	20-Oct-25	28-Oct-25	268.41	267.54	5755.98	37168.46	153216.156		-5755.98	-37168.46	110737.92	
LTF	21-Oct-25	28-Oct-25	267.98	267.85	-1918.66	35249.8	151297.496		1918.66	-35249.8	112656.58	
LTF	23-Oct-25	28-Oct-25	267.72	266.96	-1160.12	34089.68	150137.376		1160.12	-34089.68	113816.70	
LTF	24-Oct-25	28-Oct-25	267.43	267	-1293.98	32795.7	148843.396		1293.98	-32795.7	115110.68	
LTF	27-Oct-25	28-Oct-25	267.46	267.15	133.86	32929.56	148977.256		-133.86	-32929.56	114976.82	
LTF	28-Oct-25	28-Oct-25	268.35	268.35	3971.18	36900.74	152948.436		-3971.18	-36900.74	111005.64	
							36900.74				-36900.74	

No Of Con	1	
CV	1160476.96	
IM	116047.696	10%
MM	92838	8%
LOT Size	4462	
		136108.848